

Business note for Accounts Payable

Team 1 | ISM 6642 | October 7 2026

Recommended policy

Keep a person checking and approving every reimbursement. On 12 photographed handwritten forms, the prototype read **69.5% of characters correctly**, with **0 of 67 complete trip rows correct**; every row required review. Alignment, cropping and lighting changes improved the earlier 17.7% baseline while keeping the trained model unchanged. The reader is not ready to approve payments.

An auto-post candidate must have verified alignment and crops, reliable readings, valid employee/client references and dates, and matching odometers, miles and total. The frozen minimum confidence is 0.82 ordinarily and 0.92 for each odometer's three highest-place digits. Failed checks or crop warnings require review regardless of confidence. Retain images and check results. These thresholds need calibration on new writers; the 12 forms are a repeated benchmark.

Monthly cost frame

The assignment estimates **10,000 logs per month at \$3.40 each** for manual entry: **\$34,000 per month**, or **\$408,000 per year**.

The examples below assume staff still enter the entire log whenever any row needs review, at the same \$3.40 cost per log.

Fully automatic logs	Logs still keyed	Monthly keying cost	Gross savings before other costs
0%	10,000	\$34,000	\$0
50%	5,000	\$17,000	\$17,000
80%	2,000	\$6,800	\$27,200

These are examples, not achieved savings. Software, staff checking and error-correction costs must also be measured and included.

In 15 generated logs, three of 90 rows qualified but no complete log did. Every log deliberately contained a mileage fault, so this sample cannot predict normal AP automation. No labor savings have been demonstrated.

Why errors matter

Incorrect mileage can cause overpayments or underpayments. For example, misreading one odometer value by 1,000 miles could change reimbursement by **\$620** at \$0.62 per mile if the mistake goes undetected. Underpayments also create correction work: if 2% of the 70,000 monthly rows were underpaid and each caused one \$28 correction ticket, that work would cost **\$39,200**. These examples show potential costs; they are not measured losses.

Decision after the prototype

Evaluate frozen v3 on new writers and phone conditions, with independently checked answers prepared before inspecting predictions. Reserve a fresh test batch if those results guide a later version. Compare AP time with and without the tool, including review and correction costs. The Product Lead should approve any proposed expansion of automatic processing.